This is a very fertile line of thought which has given immense insights into the world around us.

The first thing that we learn in economics is to respect the preferences of others. When we see someone else doing something that appears incomprehensibly wrong, there is generally a good logic in favour of those decisions, based on the preferences and budget constraints of that person. Liberalism—the respect for the values, beliefs and decisions of others—is integral to economics as it is to no other branch of human knowledge.

But at the same time, there are disconcerting gaps in the paradigm. The first chink in the armour is the cost of acquiring and processing information. It is too easy to slip into the world of the model, where humans are perfect in obtaining and processing information. In practice, obtaining and processing information is costly. Humans are rational in choosing where to expend such effort.

As an example, humans think carefully before buying a microwave oven, because the gains from wisely choosing a microwave oven are large compared with the effort expended in understanding them. But humans do not bother to vote, or expend minimal effort in choosing how to vote, as there is a low link between effort spent in understanding alternative political parties and the self-interest of the voter. After 1945, voters in Europe at first carefully avoided authoritarians, but as the years went by, the memories faded. In a rational world, voters would read history books and not forget.

Consider the choice of soap. We do not live in a world where a consumer assembles all information and solves out once for the optimal choice of soap, and then stays fixed with this choice as long as tastes and prices are stable. Consumers start out somewhere, and gradually learn their way to an optimum. The key element of this process is the fact that buying soap is done frequently. Each person tends to converge upon a subjective choice of soap. This comes from an iterative process of experimentation, experience and slow learning. On the scale of a life, changes in preferences, technology and budget constraints happen to everyone, and the choice of soap shifts gradually.